



Risk Register 2022

Thames Water UPS (Closed Section)

Funding Risks

Risk	Likelihood	Impact	Score	Owner
Adverse investment returns relative to liabilities	Med-High	Medium	10	Investment Ctte
Interest rate and inflation movements	Low-Med	Medium	15	Trustee
Longevity improvements beyond assumptions	Low	Medium	6	Investment Ctte
Member option take-up variations	Low	High	14	Sponsor

Mitigating actions are documented in the Risk Appetite Statement. The Trustee reviews risks at each quarterly meeting and performs a full risk-register refresh annually.

Covenant Risks

Risk	Likelihood	Impact	Score	Owner
Sponsor financial deterioration	Low	Med-High	10	Sponsor
Corporate restructuring or disposal	Medium	Med-High	15	Trustee
Dividend policy changes	Medium	High	7	Investment Cttee

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Investment Risks

Risk	Likelihood	Impact	Score	Owner
Counterparty failure in LDI arrangements	Low-Med	Medium	12	Trustee
Liquidity shortfall under stress	Med-High	Medium	14	Sponsor
Manager underperformance	Low	Medium	14	Investment Ctte

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Operational Risks

Risk	Likelihood	Impact	Score	Owner
Administrator errors or delays	Low	High	14	Administrator
Data quality degradation	Medium	Medium	12	Administrator
Cyber and information security	Low-Med	Medium	12	Administrator

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Legal & Regulatory Risks

Risk	Likelihood	Impact	Score	Owner
GMP conversion complexity	Low	Medium	8	Sponsor
Changes to tax regime for pensions	Medium	Med-High	12	Administrator
New Funding Code compliance	Med-High	Medium	4	Administrator

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Member Outcomes Risks

Risk	Likelihood	Impact	Score	Owner
Member communications breakdowns	Low-Med	Medium	7	Administrator
Complaints and IDRP escalations	Medium	Med-High	11	Sponsor
Safeguarding vulnerable customers	Low-Med	Med-High	5	Administrator

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Transaction Risks

Risk	Likelihood	Impact	Score	Owner
BPA pricing volatility	Med-High	High	9	Investment Cttee
Insurer capacity and selection	Medium	Med-High	9	Administrator
Transfer documentation errors	Low	High	14	Sponsor

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Climate Risks

Risk	Likelihood	Impact	Score	Owner
Transition risk on strategic allocation	Low-Med	Med-High	12	Trustee
Physical risk on property holdings	Low	High	6	Investment Ctte
TCFD reporting completeness	Med-High	High	15	Investment Ctte

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Governance Risks

Risk	Likelihood	Impact	Score	Owner
Trustee board composition and skills	Low	High	9	Administrator
Adviser rotation and independence	Low-Med	High	10	Administrator
Conflict of interest management	Med-High	Medium	12	Sponsor

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